PSCI 3350.001 Comparative Politics

Lecture 3: Economics and political development

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Today's puzzle

> Does economic development cause political development — and if it does, in which direction does the causal arrow run?

Ishiyama surveys **three answers** that disagree about almost everything: where to look, what the unit of analysis is, and whether the Western path can be repeated at all.

Learning goals

By the end of class you should be able to:

1. State what **modernization theory** claims and name the main versions of "political development" inside it
2. Distinguish **social mobilization** from **political institutionalization**, and explain why Huntington needs both
3. Explain how **dependency theory** inverts the modernization story
4. Say what **statism** adds that neither of the other two can explain
5. Compare all three on the dimensions in Table 3.4
6. Separate **endogenous** from **exogenous** democratization, and say which one Przeworski and Limongi's evidence supports
7. Define **state making** as Tilly uses it, and explain why he calls European state institutions byproducts
8. Place a bureaucracy on Fukuyama's two dimensions, **capacity** and **autonomy**

Part 1: Modernization theory

Older than political science

Modernization theory is "less a coherent theory than an approach." Its roots run back to the Enlightenment conviction that people can change their own conditions.

Condorcet	Technology and economic transformation let humankind alter its moral and cultural values
Saint-Simon (1760–1825)	Economic development and technology can better social conditions
Comte (1798–1857)	Modernization ushers in a "positive" scientific era
Marx	Industrialization of the economic **base** changes the social and political **superstructure**

The common thread: **economic change comes first, and political change follows**.

Durkheim: complexity and anomie

Durkheim asked what industrialization does to the **division of labour**.

- All societies must perform certain functions — security, political leadership, spiritual leadership
- What differs is the **complexity** of the division of labour that performs them
- Simple societies need little complexity to hold order; industrial capitalism forces functional differentiation

Anomie. Older certainties — God above all — are called into question by science and technology, producing **a widespread sense of rootlessness**, and with it criminality and social violence.

Parsons: traditional and modern as ideal types

Table 3.1 · Traditional vs. modern societies

	Traditional societies	Modern societies
How is social status determined?	Ascriptive status	Achievement status
What social roles do people play?	Diffuse roles	Specific roles
Are values universal or case-dependent?	Particularistic values	Universalistic values
Which matters more, group or individual?	Collectivity orientation	Self-orientation
Immediate reward, or postponed for future benefit?	Affectivity	Affective neutrality

These are **ideal types anchoring a continuum**, not descriptions. No society is purely one or the other — every real society sits somewhere between.

Lipset: the strong claim

In *Political Man* (1959) Lipset argued for a **direct relationship** between industrialization and political democracy.

- Economic modernization creates the **social requisites** of democracy: a large, vibrant, literate middle class, and wealth
- He found direct correlations between democracy and higher **urbanization**, higher **literacy**, and greater **per capita income**

From correlation he concluded causation: economic development has **a direct causal relationship with political democracy**.

Deutsch: not democracy — mobilization

Karl Deutsch (1961) accepted the disruption but refused Lipset's conclusion.

> the process in which the major cluster of old social, economic and psychological commitments are eroded or broken and people become available for new patterns of socialization and behavior
>
> — Deutsch (1961, p. 494), defining **social mobilization**

Industrialization moved populations from countryside to city. People who had identified with a locality now made new acquaintances, learned new things, and questioned their own identity — which is how **national** identities emerged.

Politically, mobilization expands "the politically relevant strata of the population" — **those persons who must be taken into account**. Whether that ends in stability or disorder depends on how the existing system copes.

Almond and Coleman: five crises

Economic modernization creates **crises** a political system must resolve. What results depends on how it copes.

Crisis	What it is
Identity	Local ties break; a new sense of community — usually national — must form
Legitimacy	Divine right gives way to the idea that rule rests on the consent of the governed
Participation	A "revolution in rising expectations" generates demands to take part in governing
Penetration	New institutions must link rulers to ruled directly, replacing indirect rule through nobles
Distribution	New social groups demand their material share of the economic pie

What is "political development"?

The term does not mean one thing, and the disagreement matters.

Lipset

A politically developed state is one that is **democratic**.

Beer (1973)

Development is the **expansion of the bureaucratic state** — patterns of interests create patterns of power, which generate new interests, *ad infinitum*.

Huntington (1965, 1968)

Development is **political institutionalization**: "the process by which organizations and procedures acquire value and stability."

Notice what follows. On Beer's and Huntington's definitions, **a country can develop politically without becoming any more democratic**.

Huntington's four dimensions

How do you tell whether a political system is institutionalized?

Dimension	The question
Adaptability / rigidity	Can it survive a change in its environment?
Complexity / simplicity	Is there a division of labour, with redundant structures?
Autonomy / subordination	Is it independent of any single social group?
Coherence / disunity	Is there a unity of purpose holding it together?

Adaptability has three measures: **chronological age**, **generational age** (how many leadership transitions), and **functional age** (how many times it has changed what it does).

Note: what does institutionalization measure?

Huntington's **generational age** measures a system's adaptability by counting:

- The number of years since the organization was founded
- The number of leadership transitions it has been through
- The number of times it has changed its function
- The number of social groups it represents

The second. A system can be chronologically ancient and still fragile if **one leader has never been replaced**.

Two variables, four outcomes

Table 3.2 · Huntington's classification of regime types

	Institutionalization high	Institutionalization low
Social mobilization high	Civic	Corrupt (praetorian)
Social mobilization low	Contained	Primitive

Table 3.3 · Country examples

	Institutionalization high	Institutionalization low
Social mobilization high	The United States · Great Britain · **the Soviet Union**	Most of the developing world
Social mobilization low	Contained — perhaps colonial societies	Traditional agrarian monarchies (Imperial Ethiopia)

Outcomes are the product of the **interaction** of the two, not of either alone. Mobilization without institutions is **not development but decay**.

The entry that should stop you

The Soviet Union is filed under **civic** — beside the United States and Great Britain.

Ishiyama's reasoning: the USSR modernized massively and fast in the 1930s, generating extensive mobilization pressure. The system was **complex**, **autonomous**, and armed with a legitimising ideology, so it met those demands — or contained them by repression and violence — and survived.

Britain and the United States built institutions **before** industrialization, which Chapter 2 treated as something close to a historical accident. The Soviet Union built the state and transformed the economy at the same time — **rather like building a ship in a stormy sea**.

Modernization theory in summary

Whatever version, three commitments recur:

1. Political development is a **consequence** of economic development — the political system evolves in response to economic stimuli
2. The approaches rest on **historical observation of the West**, particularly Europe
3. The key intervening variable is often **political culture** — the subject of Chapter 4

Point 2 is the opening dependency theory will attack, and **it is the same parochialism Macridis complained about in Chapter 1**.

Part 2: Dependency

A different room, a different answer

While modernization theory developed among North American political scientists, a rival grew in post-war **Latin America**, rooted in neo-Marxism and dissatisfied with the international economic order.

Prebisch (1950)	Research at ECLA: falling wealth in poor countries correlates with rising wealth in rich ones
Baran (1957) · **Frank** (1966, 1967)	International capitalism produced the **de-development** of the developing world
dos Santos (1970)	A "new dependency" — external relations are *articulated* internally
Cardoso	Growing disparities between centre and periphery, written in exile
Wallerstein (2004)	The "World System" and the history of international capitalism

The development of underdevelopment

Frank's claim, introduced to an American audience in 1966: poverty in the developing world is **not** a starting condition that development will cure. It is a **product** of world capitalism.

The Indian textile case. Before the British East India Company, textile production — largely household industry — employed a great many people and was extensive. Cheap manufactured imports followed the British, **destroyed the indigenous industry, and created mass unemployment and poverty**.

So the periphery is not "behind." It was actively **de-developed**.

Two more breaks with modernization theory

1 · The international system is missing. Modernization theory explains development by internal structural factors, with no reference to the international environment.

2 · The Western path is assumed repeatable. Marx himself wrote, in the 1867 preface to *Das Kapital,* that "the country that is more developed industrially only shows, to the less developed, the image of its own future."

Dependency's reply: the West industrialized **before** the world capitalist system consolidated — indeed the West created it. Countries developing now face **an obstacle their predecessors never had to pass**.

Figure 3.1 · Imperialism, nineteenth century

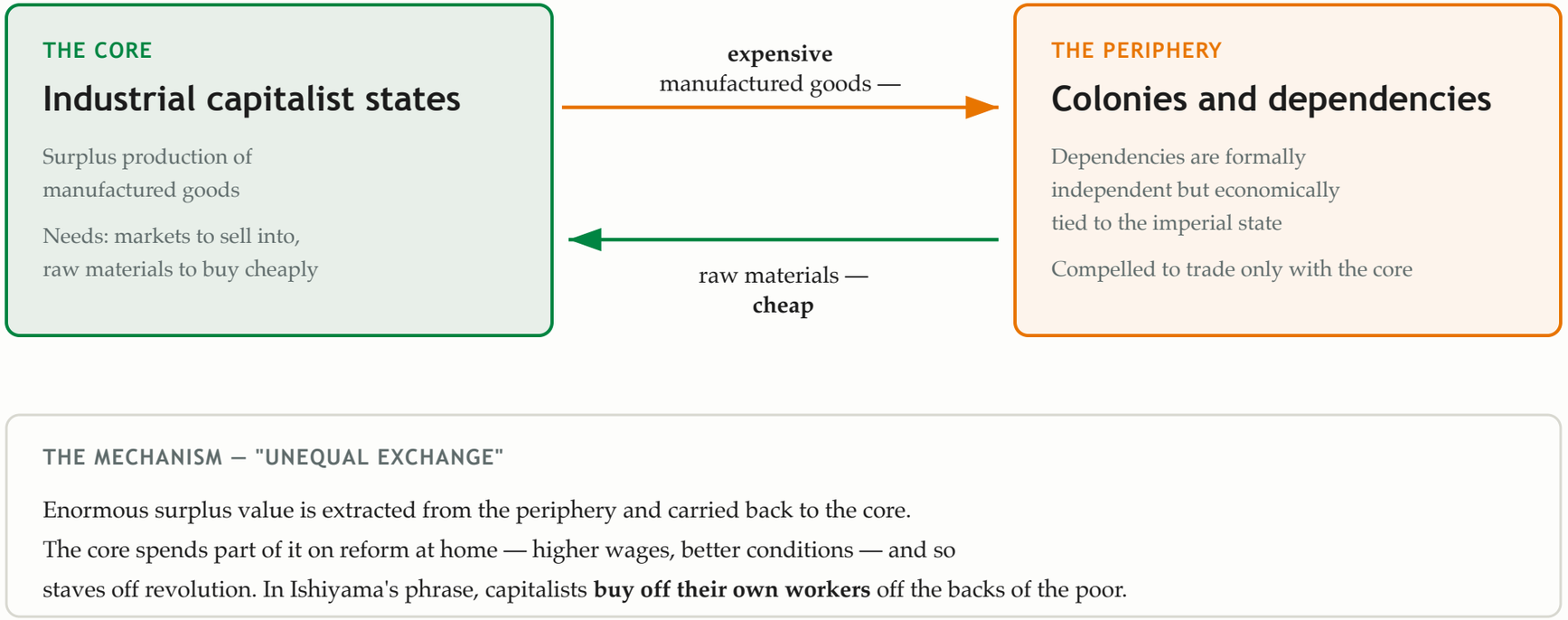


Figure 1: Recreated from Ishiyama, Figure 3.1. Click to enlarge.

Figure 3.2 · Neo-imperialism, twentieth century

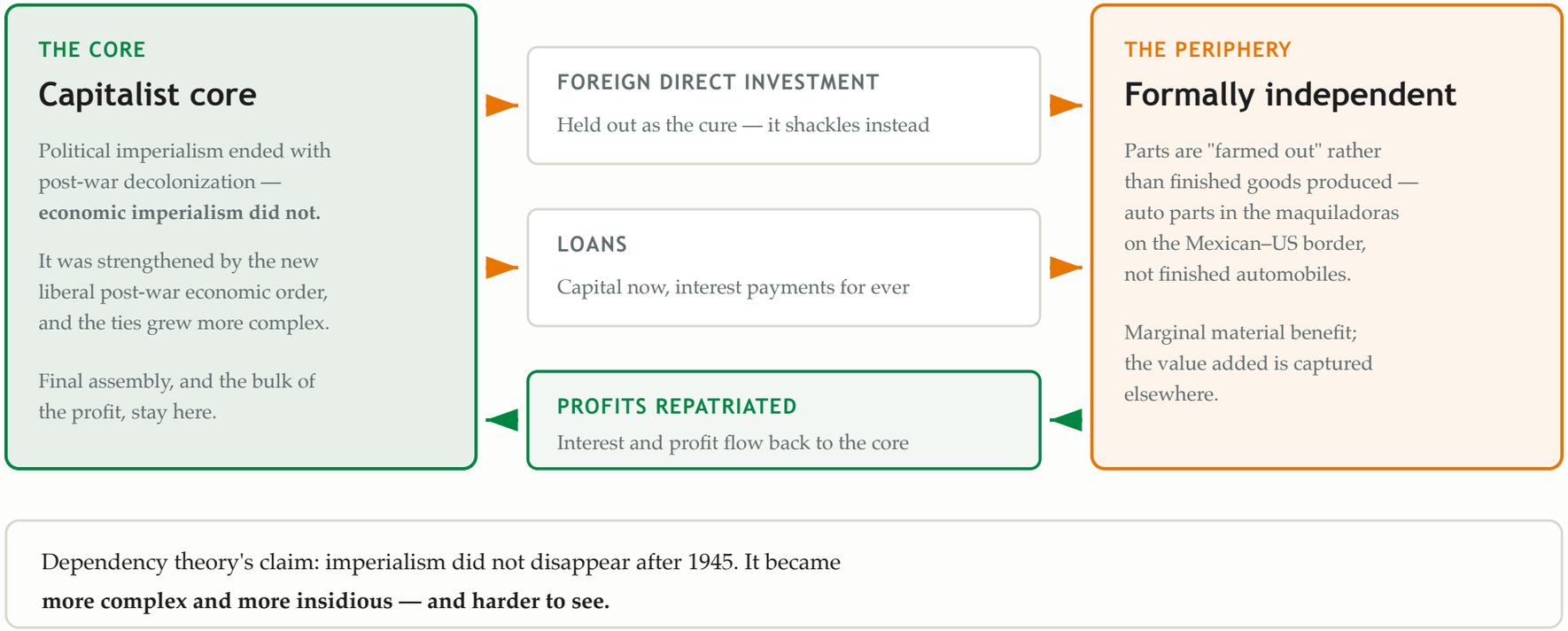


Figure 2: Recreated from Ishiyama, Figure 3.2. FDI, foreign direct investment. Click to enlarge.

Figure 3.3 · The internal articulation

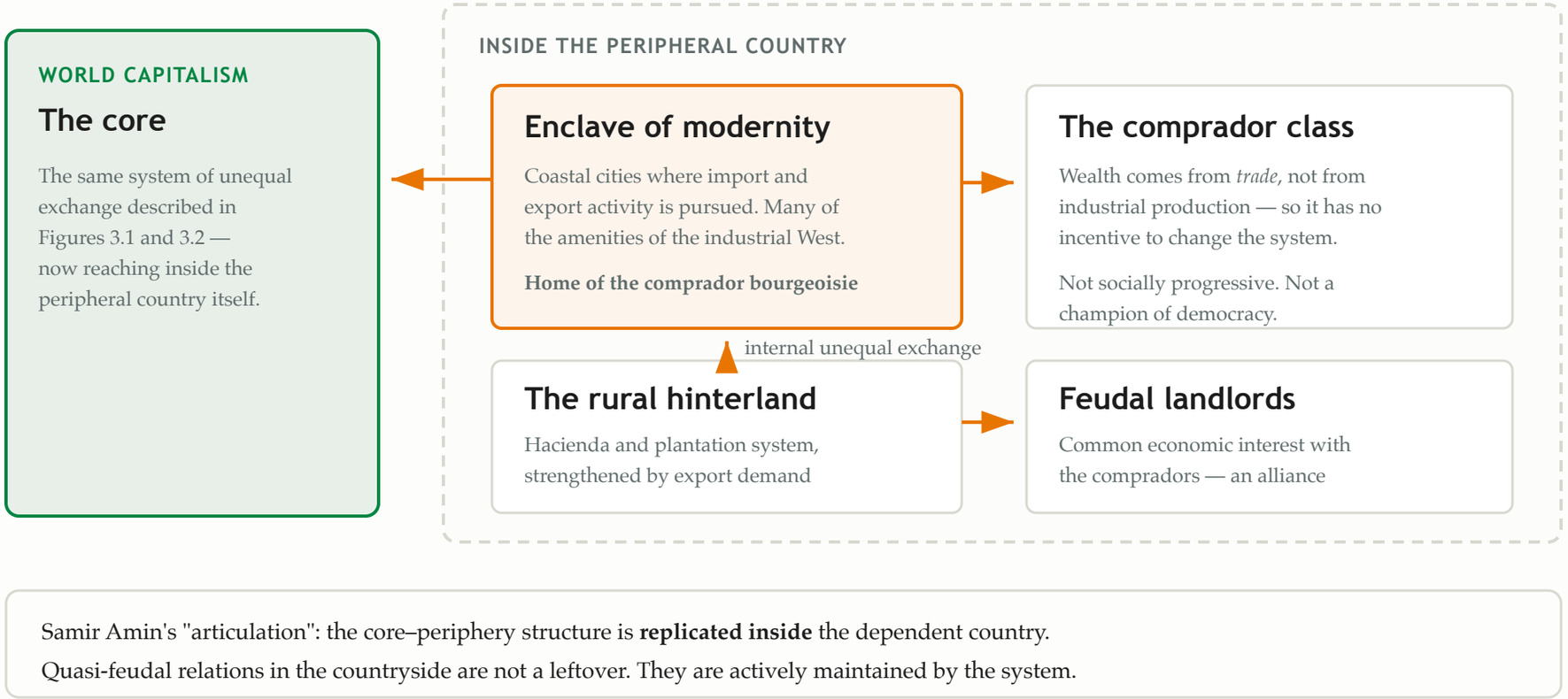


Figure 3: Recreated from Ishiyama, Figure 3.3. Click to enlarge.

Why dependency implies authoritarianism

In the West the bourgeoisie was the **progressive** class — it dismantled feudalism and opened the way to democracy.

In the periphery the comprador bourgeoisie is nothing of the kind. Its wealth comes from **trade**, not industrial production, so it has no reason to change the system, and every reason to keep the masses unempowered.

And if a populist leader does emerge from the masses — usually through the ranks of the military — he is likely to reject bourgeois democracy as Western and corrupt. So from this perspective there is **little hope for democracy while dependent relations persist**.

Note: what does "de-development" claim?

- Poor countries have not yet begun the development process
- Poverty in the periphery is a product of the expansion of world capitalism, not a starting condition
- Development stalls because peripheral states adopt the wrong values
- Peripheral countries will eventually resemble the core, as classical Marxists expected

The second. **The periphery is not behind. It was actively made poor.**

Part 3: Statism

The anomaly

Classical dependency says the periphery can never catch up. But some countries plainly did.

Japan · Russia · Turkey, and more recently the Asian Tigers — **Taiwan, Singapore, South Korea**.

Scholars trained in the dependency tradition — **Evans**, **Rueschemeyer**, **Skocpol** — began to question whether dependency travelled beyond Latin America. Some peripheral countries were catching up, and doing it through **state-led industrialization**.

What both other theories missed

The statist critique: modernization theory and dependency theory are both **society-centred**. Each ignores the role the state itself plays in capital accumulation and investment.

Liberal state

An **arena** in which interests compete.

Marxist state

A **tool** of the dominant class.

Weberian state

"A human community which claims the monopoly of the legitimate use of physical force within a given territory."

In the first two the state is an **object with no interests of its own**. For Weber it is a community — so it has interests, and **the paramount one is survival**.

Politics as the cause

What drives a state to modernize is **the threat posed by external enemies**. Rapid industrialization raises military capacity, and military capacity buys security.

So the arrow reverses. For modernization theory politics reflects internal economic change; for dependency it reflects external economic structure. For statism, **politics is a cause of economic transformation**.

Part 4: Comparing the three

Table 3.4 · The three approaches compared

	Modernization theory	Dependency	Statism
Unit of analysis	State	Global system	State
Can earlier models be replicated?	Yes	No	Yes
Economic development is possible…	when modern values are adopted	only when the international economic order changes	as the result of voluntaristic action by the state

Read the middle row as the fault line. If earlier models **cannot** be replicated, then every reform proposal built on a Western template is answering the wrong question.

Note: whose unit of analysis?

Which approach takes the **global system** rather than the state as its unit of analysis?

- Modernization theory
- Dependency theory
- Statism
- All three, since each studies countries in an international context

Dependency. **For modernization theory and statism alike the unit is the state** — development is a function of what happens inside a country's borders, or of what its state chooses to do.

Part 5: Testing the claim

One correlation, two explanations

Lipset's finding — richer countries are more often democratic — is not in dispute. **Przeworski and Limongi (1997)** point out that it is also **not self-explaining**.

Endogenous democratization	Development *causes* democratization. As a dictatorship grows richer, it becomes more likely to become a democracy. This is modernization theory
Exogenous democratization	Democracies arise for all sorts of reasons, more or less independently of development — but once established, they are far more likely to **survive** where incomes are high

Both stories predict the same correlation. **That is precisely why the correlation cannot settle the question**.

What the data say

Przeworski and Limongi's answer, from regime histories across the developing and developed world since 1950:

- Transitions to democracy are **not** reliably more likely as dictatorships grow richer
- But democracies **die** at low incomes and almost never die at high ones

> No democracy in the sample ever fell in a country richer than **Argentina in 1975** — a per capita income of **$6,055**.

So the correlation between wealth and democracy is produced mainly by **where democracies survive, not by where they are born**.

Note: which explanation survives the test?

Przeworski and Limongi's evidence supports:

- The endogenous explanation — as dictatorships grow richer they democratize
- Both explanations about equally
- Neither; the association disappears once region is controlled for
- The exogenous explanation — development does not make democracy more likely to *arrive,* but makes it far more likely to *last*

The exogenous explanation. **Development does not reliably produce transitions; it protects democracies that already exist**.

Note: what would the rival predict?

If the **endogenous** explanation were correct, what should we observe?

- Rich countries are democratic more often than poor countries
- The rate at which authoritarian regimes transition to democracy rises as their income rises
- Democracies in rich countries last longer than democracies in poor countries
- Democracies grow economically faster than dictatorships

Rising transition rates with rising income. **The first option is the thing to be explained**, not a test — and the third is what the *exogenous* story predicts.

Part 6: Before development, the state

A prior question

All three approaches in this lecture assume something they do not examine: that there **is** a state — one that can tax, enforce, and act on whatever strategy it adopts.

> Statism makes the state the explanation of development. **Tilly and Fukuyama ask where the state itself came from, and what makes one capable**.

These were the readings for **Session 3 · September 24**, and they sit on this quiz block. Ishiyama has no chapter on state capacity, which is why the two articles carry it.

Tilly: four activities

Charles Tilly (1985), "War Making and State Making as Organized Crime." European rulers did four things:

War making	Eliminating or neutralizing rivals **outside** the territory they claimed
State making	Eliminating or neutralizing rivals **inside** that territory
Protection	Eliminating or neutralizing the enemies of their clients
Extraction	Acquiring the means of carrying out the first three

Note what *state making* means here. It is not building a bureaucracy — **it is winning the internal fight**. The bureaucracy comes later, and comes by accident.

Note: what does "state making" mean?

In Tilly's usage, **state making** refers to:

- Constructing the bureaucratic and fiscal machinery through which a ruler governs
- Securing the consent of the governed through representative institutions
- Eliminating or neutralizing rivals inside the territory the ruler claims
- Eliminating or neutralizing rivals outside that territory

Rivals **inside** the territory. The fourth option is *war making*; the first is what state making **produced rather than what it denotes**; the second is the social-contract story Tilly is writing against.

The racket, and the byproduct

> "Someone who produces both the danger and, at a price, the shield against it is a racketeer."

Banditry, piracy, gangland rivalry, policing and war making, Tilly argues, belong **on the same continuum** — and war making and state making are "quintessential protection rackets with the advantage of legitimacy."

The consequence that matters. Rulers did not set out to build states; they set out to make **war**, which required **extraction**, which required **bargaining** with the populations they extracted from. Taxation systems, courts, assemblies — and eventually rights — emerged from that bargaining as **unintended byproducts**.

Why Europe's bargain may not repeat

Tilly's warning about the contemporary developing world:

- European rulers had to extract the means of war from **their own populations**, and had to concede to get them
- Today's state builders can obtain military power from **outside** — arms, training, subsidy, alliance

Where coercive capacity arrives from abroad, **the bargain is never struck** — and the historical link between making war and extending citizen rights is broken.

Fukuyama: what is governance?

Governance is "a government's ability to **make and enforce rules, and to deliver services**" — regardless of whether that government is democratic or not.

- It is a property of the **executive and its bureaucracy**, not of the regime
- A government can be democratic and badly governed, or authoritarian and well governed
- It is about the performance of agents in carrying out the wishes of principals, **not** about the goals the principals set

So the common practice of folding "voice and accountability" into a governance index makes it impossible to ask whether democracy improves governance — the answer has been built into the instrument.

Capacity and autonomy

Fukuyama's proposal: locate any bureaucracy on **two** dimensions.

Capacity	Resources and professionalization — can it actually do things?
Autonomy	How much discretion it has, versus how tightly rules and political principals bind it

There is no single right amount of autonomy. The optimum is **conditional on capacity**: give a low-capacity bureaucracy wide discretion and you get predation; **bind a high-capacity one in detailed rules and you waste the expertise you are paying for**.

Note: how much autonomy is right?

On Fukuyama's account, the optimal degree of bureaucratic autonomy:

- Is as high as possible, since autonomy insulates officials from political interference
- Depends on capacity — less discretion for low-capacity bureaucracies, more for high-capacity ones
- Is as low as possible, since unelected officials should be tightly bound by rules
- Is set by regime type, with democracies requiring less autonomy than autocracies

It depends on capacity. **Fukuyama refuses both unconditional positions** — and the first and third between them are what most readers bring to the article.

Where this leaves the argument

> Ishiyama's own summing up: there is broad consensus that the economic environment is **a crucial explanatory factor** for the emergence of political forms, including democracy — while the debate over how it matters remains open.

But the test tightens the claim. Przeworski and Limongi's evidence says development does not reliably *produce* democracy — it *protects* it. And Tilly and Fukuyama put a prior condition under all three approaches: **none of them works without a state capable of acting**.

Chapter 4 turns to the variable modernization theory kept treating as the intervening step: **political culture**.

For your dossier

Round 2 asks for a context diagnosis including **political economy**. This chapter gives you three incompatible ways to write that section.

Three things to try this week:

- Ask which of the three approaches your **focal country's** trajectory best fits — and which one your comparator fits. If they differ, that difference *is* your Round 3 argument
- Locate your focal country on Huntington's two dimensions. Is its problem mobilization, institutionalization, or the gap between them?
- If your team is drawn to a structural explanation, name the **mechanism** linking structure to politics. Haggard and Kaufman's complaint about structural theories was precisely that the mechanism goes missing
- Say whether your focal country's state capacity problem is **capacity**, **autonomy**, or the mismatch between them. "Weak institutions" is not a diagnosis
- If its security apparatus is externally supplied, Tilly predicts something specific about the bargain that was never struck. Check whether the record bears it out

For next session

Session 5 · October 8 — When do identities become political?

- **Ishiyama**, Chapter 4: Political Culture and Ethnopolitics
- Due: **claim-evidence map**
- **Quiz 3** at the start of the meeting
- **Group B · Round 2** presentations

Chapter 4 takes up the intervening variable this chapter kept deferring — and asks whether culture explains anything **that economics has not already explained**.